

Mindteck Investor Presentation

Third Quarter, 2017-18

February 13, 2018

Safe Harbor

Certain statements in this release concerning our future growth prospects may be forward-looking statements, which involve a number of risks and uncertainties that could cause actual results to differ materially from those in such forward-looking statements. The risks and uncertainties relating to these statements include, but are not limited to, risks and uncertainties regarding fluctuations in earnings, our ability to manage growth, intense competition in IT services including those factors which may affect our cost advantage, wage increases, our ability to attract and retain highly skilled professionals, time and cost overruns on fixed-price, fixed-time frame contracts, client concentration, restrictions on immigration, our ability to manage our international operations, reduced demand for technology in our key focus areas, disruptions in telecommunication networks, our ability to successfully complete and integrate potential acquisitions, liability for damages on our service contracts, withdrawal of governmental fiscal incentives, political instability, legal restrictions on raising capital or acquiring companies outside India, unauthorized use of our intellectual property, and general economic conditions affecting our industry. Mindteck may, from time to time, make additional written and oral forward-looking statements, including our reports to shareholders. The company does not undertake to update any forward-looking statements that may be made from time to time by or on behalf of the company.

Mindteck Snapshot

Clients

Long-standing, top-tier clientele of global Fortune 1000 companies, leading universities, government entities, and start-ups

Locations

India, Singapore, Malaysia, Philippines, Netherlands, Germany, Bahrain, Turkey, UK, US, Canada

Development centers in Singapore and India (Kolkata and Bengaluru)

Industries

- Healthcare, Life Sciences, Medical Devices
- Manufacturing, Industrial Automation
- Semiconductor and Storage
- Energy
- Government
- Insurance

Services and Solutions

- Embedded Systems
- Application Development
- Smart City
- Data Analytics/Intelligence
- IT Infrastructure and Storage
- IT Talent
- Mindteck Academy

Accreditations

- CMMI Level 5, Dev. 1.3
- CMMI Level 2, SVC/2
- ISO 9001
- ISO 13485
- ISO 27001
- ISO/IEC 20000

IP

- Wireless Stack
- IoT
- Enterprise Software
- Cloud and Big Data
- Healthcare
- Semiconductor

Mindteck is a publicly-listed product engineering and IT services company established in 1991.

Centers of Excellence:
*Wireless Design,
Smart Energy, and
Storage Testing*

Mindteck **Services and Solutions**

Our Engagement Models, IT Talent, and Managed Services address specific IT and business challenges. We leverage our niche knowledge, proven technical expertise, and 25 years of accumulated industry insights to deliver highly customized and comprehensive solutions for our clients.



Embedded Systems

Mechanical/Electronic Design,
Wireless Sensor Networks,
Production Testing, Connectivity,
Firmware Integration



Application Development

Maintenance, Modernization,
Integration, Performance
Management, Mobility, Testing,
PLM, SAP



Smart City

Internet of Things (IoT)-based
Smart City, Lighting, Parking, Utilities,
Buildings, Governance, Healthcare



Data Analytics/Intelligence

Big Data, Architecture, Reporting,
Visualization, Data Management



IT Infrastructure and Storage

Data Center Integration,
Consolidation, Virtualization, Help
Desk, Cloud, Multi-Cloud Storage,
Verification and Validation



IT Talent

Contract-to-Hire, Direct Hire, VMS,
Mindteck Academy

Consolidated Financials



Financial **Highlights**

Q3 FY18:

- Revenue decreased by 4.90% QoQ and 16.87% in the corresponding quarter YoY to ₹ 717.40 million
- EBITDA grew by 213.68% QoQ and fell by 51.25% in the corresponding quarter YoY to ₹ 6.65 million
- Profit after Tax (PAT) increased by 33.45% QoQ and 193.19% in the corresponding quarter and YoY to ₹ 0.38 million

YTD December 2017:

- Revenue decreased by 11.78% to ₹ 2,249.36 million
- EBITDA decreased by 63.84% to ₹ 27.38 million
- Profit after Tax (PAT) decreased by 60.04% to ₹ 22.47 million

Business **Highlights and Awards**

- A major customer renewed their contract for a period of three years
- Three new client wins
- Eighteen parking sites completed for Bhopal Smart Parking project
- Chidambara Ganapaiah joined as Senior Vice-President – Delivery and Support

Sequential Q3 FY 18 Vs. Q2 FY 18 (Unaudited)

Particulars	Q3 FY18 (₹M)	Q2FY18 (₹M)	Change QoQ %	Expenses / Sales %	
				Q3 FY18	Q2 FY18
Revenue (₹M)	717.40	754.37	(4.90%)		
Employee Related Expenses	504.14	507.38	(0.64%)	70.27%	67.26%
Cost of Technical Sub-contractors	128.64	143.23	(10.19%)	17.93%	18.99%
Total Direct Costs	632.78	650.61	(2.74%)	88.20%	86.25%
Gross Profit	84.62	103.76	(18.45%)	11.80%	13.75%
Sales & Marketing Expenses	8.39	6.84	22.66%	1.17%	0.91%
Admin. & Other Expenses	53.06	60.51	(12.31%)	7.40%	8.02%
Travel Expenses	16.20	13.30	21.8%	2.26%	1.76%
Doubtful Debt Provision	0.32	20.99	(98.48%)	0.04%	2.78%
Total SGA	77.96	101.64	(23.33%)	10.87%	13.47%
EBITDA	6.65	2.12	213.68%	0.93%	0.28%
Finance Costs	1.67	1.05	59.05%	0.23%	0.14%
Depreciation & Amortization	3.08	3.08	-	0.43%	0.41%
Other Income	(3.80)	(5.70)	(33.33%)	0.53%	0.76%
PBT	5.70	3.69	54.47%	0.79%	0.49%
Tax	(1.87)	(0.82)	(128.05%)	(0.26%)	0.11%
PAT	3.83	2.87	33.45%	0.53%	0.38%

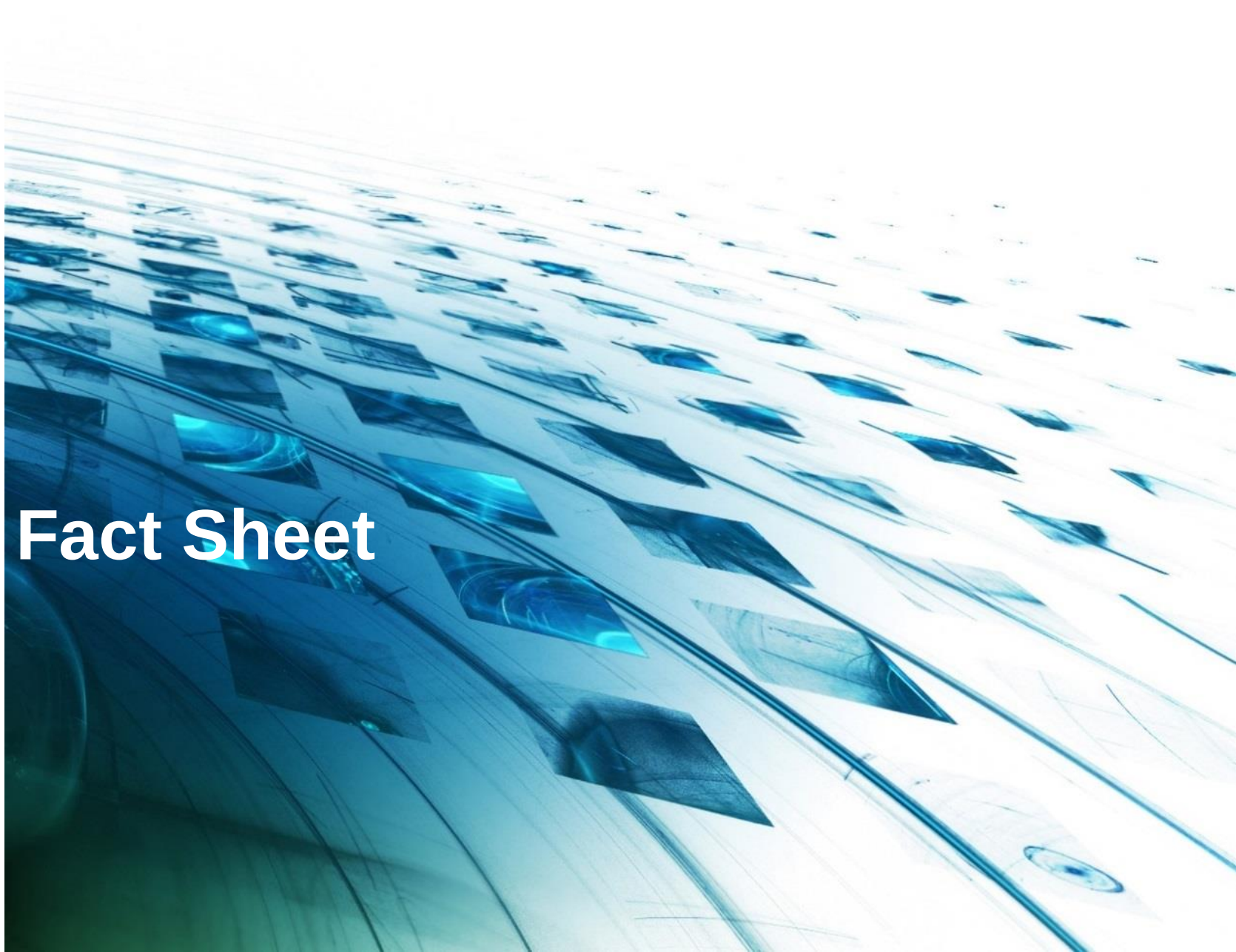
YoY Q3 FY 18 Vs. Q3 FY 17 (Unaudited)

Particulars	Q3 FY18 (₹M)	Q3FY17 (₹M)	Change QoQ %	Expenses / Sales %	
				Q3 FY18	Q3 FY17
Revenue (₹M)	717.40	862.98	(16.87%)		
Employee Related Expenses	504.14	585.80	(13.94%)	70.27%	67.88%
Cost of Technical Sub-contractors	128.64	178.67	(28%)	17.93%	20.70%
Total Direct Costs	632.78	764.47	(17.23%)	88.20%	88.58%
Gross Profit	84.62	98.51	(14.10%)	11.80%	11.42%
Sales & Marketing Expenses	8.39	5.42	54.80%	1.17%	0.63%
Admin. & Other Expenses	53.06	67.76	(21.69%)	7.40%	7.85%
Travel Expenses	16.20	13.30	21.80%	2.26%	1.54%
Doubtful Debt Provision	0.32	1.34	(76.12%)	0.04%	0.16%
Total SGA	77.96	101.29	(23.03%)	10.87%	11.74%
EBITDA	6.65	13.64	(51.25%)	0.93%	1.58%
Finance Costs	1.67	1.17	42.74%	0.23%	0.14%
Depreciation & Amortization	3.08	3.77	(18.30%)	0.43%	0.44%
Other Income	(3.80)	(5.52)	(31.16%)	0.53%	0.64%
PBT	5.70	(2.19)	360.27%	0.79%	(0.25%)
Tax	(1.87)	(1.91)	(2.09%)	(0.26%)	(0.22%)
PAT	3.83	(4.11)	193.19%	0.53%	(0.48%)

Comparison YTD Dec 17 Vs. YTD Dec 16 (Unaudited)

Particulars	YTD Dec 2017 (₹M)	YTD Dec 2016 (₹M)	Change QoQ %	Expenses / Sales %	
				YTD Dec 2017	YTD Dec 2016
Revenue (₹M)	2,249.36	2,549.58	(11.78%)		
Employee Related Expenses	1,522.96	1,673.67	(9.00%)	67.71%	65.64%
Cost of Technical Sub-contractors	424.35	520.48	(18.47%)	18.87%	20.41%
Total Direct Costs	1,947.31	2,194.15	(11.25%)	86.57%	86.06%
Gross Profit	302.05	355.43	(15.02%)	13.43%	13.94%
Sales & Marketing Expenses	20.39	21.12	(3.46%)	0.91%	0.83%
Admin. & Other Expenses	184.82	196.46	(5.92%)	8.22%	7.71%
Travel Expenses	42.26	36.85	14.68%	1.88%	1.45%
Doubtful Debt Provision	27.20	25.29	7.55%	1.21%	0.99%
Total SGA	274.67	279.72	(1.81%)	12.21%	10.97%
EBITDA	27.38	75.71	(63.84%)	1.22%	2.97%
Finance Costs	3.85	3.19	20.69%	0.17%	0.13%
Depreciation & Amortization	9.19	13.39	(31.37%)	0.41%	0.53%
Other Income	(16.08)	(19.61)	(18.00%)	0.71%	0.77%
PBT	30.42	78.75	(61.37%)	1.35%	3.09%
Tax	(7.95)	(18.76)	(64.68%)	0.35%	(0.74%)
PAT	22.47	59.99	(60.04%)	1.00%	2.35%

Mindteck Fact Sheet



Fact Sheet

Revenue	Nos/%	Q3FY18	Q2FY18	Q1FY18	Q4FY17	Q3FY17	FY17	FY16
	Revenue from operations, USD M	11.15	11.69	12.04	13.03	12.76	50.95	47.57
	%, QoQ/YoY growth	(5%)	(3%)	(7%)	2%	(4%)	7%	(3%)
	Revenue from operations, INR M	717.40	754.37	777.59	866.98	862.98	3,416.56	3,116.30
	%, QoQ/YoY growth	(4.90%)	(2.99%)	(10.31%)	0.46%	(3.5%)	9.6%	(2.3%)

Business Offerings Revenue Mix	%	Q3FY18	Q2FY18	Q1FY18	Q4FY17	Q3FY17	FY17	FY16
	Talent Management	6.92	7.24	7.99	8.86	8.80	34.59	30.80
	Product Engineering	2.70	2.87	2.54	2.53	2.38	9.65	9.02
	Information Technology Services	1.51	1.58	1.51	1.64	1.58	6.71	7.75
	Smart City Services	0.02	-	-	-	-	-	-
	Total	11.15	11.69	12.04	13.03	12.76	50.95	47.57

Business Offerings Revenue Mix	%	Q3FY18	Q2FY18	Q1FY18	Q4FY17	Q3FY17	FY17	FY16
	MS	3.24	3.42	3.01	3.76	3.26	13.81	15.23
	PS	7.91	8.27	9.03	9.27	9.50	37.14	32.34
	Total	11.15	11.69	12.04	13.03	12.76	50.95	47.57

Fact Sheet

Geography: Revenue Mix	%	Q3FY18	Q2FY18	Q1FY18	Q4FY17	Q3FY17	FY17	FY16
	USA	65%	66%	69%	70%	72%	71%	68%
	IMEA	13%	13%	13%	13%	11%	12%	12%
	Europe	8%	7%	6%	6%	6%	6%	7%
	APAC	14%	14%	12%	11%	11%	11%	13%
	Total	100%	100%	100%	100%	100%	100%	100%

Revenue by Delivery Centers	%	Q3FY18	Q2FY18	Q1FY18	Q4FY17	Q3FY17	FY17	FY16
	USA	65%	66%	69%	70%	72%	71%	68%
	India	11%	11%	11%	11%	10%	10%	10%
	Singapore	9%	9%	7%	6%	5%	5%	5%
	Malaysia	5%	5%	5%	5%	6%	6%	8%
	UK	6%	6%	6%	6%	6%	6%	6%
	Germany	2%	1%	0%	0%	0%	0%	1%
	Bahrain	2%	2%	2%	2%	1%	2%	2%
	Total	100%	100%	100%	100%	100%	100%	100%

Fact Sheet

Revenue Concentration	%	Q3FY18	Q2FY18	Q1FY18	Q4FY17	Q3FY17	FY17	FY16
	Top 5	72%	71%	73%	71%	73%	71%	66%
	Top 10	80%	79%	80%	76%	79%	78%	74%

Client Engagement Size	Nos	Q3FY18	Q2FY18	Q1FY18	Q4FY17	Q3FY17	FY17	FY16
	Large \$3M - \$5M	3	3	3	4	4	4	4
	Medium \$1M - \$3M	4	4	4	8	8	9	12

DSO	Nos.	Q3FY18	Q2FY18	Q1FY18	Q4FY17	Q3FY17	FY17	FY16
	Days	88	94	87	80	76	80	69

Mindteck **Vision, Mission and Core Values**

Vision:

To excel at what we do and how we do it, and to do good for our clients, shareholders, employees, partners, and the communities where we conduct business.

Mission:

Be the strong niche player that consistently delivers exceptional technology solutions and fosters long-term client relationships to create sustainable value for all stakeholders.

Core Value: Excellence

- Focus on exceeding the expectations of our clients
- Reward employees who take initiative and produce results
- Deliver on our commitments inside and outside the company
- Maximize our resources to grow and thrive
- Act as one company, with respect and integrity at all times
- Be mindful about everything we do

Mindteck Academy



Mindteck Academy, an IT workforce development solution, builds opportunities for learning, hiring, and economic growth in the communities we serve.

- *The underserved* – qualified military veterans, recent college graduates, and displaced workers – learn the technology skills required for gainful employment;
- *Companies and government entities* struggling to overcome IT skill shortages hire local citizens trained to exact specifications and needs;
- *Communities* grow as their unemployed and underemployed are hired or retrained.

- *Java/J2EE/.Net*
- *NetApp/Storage*
- *Python*
- *Hadoop*
- *QA Testing*
- *Data Analysis*
- *iOS/Android*

MINDTECK ACADEMY

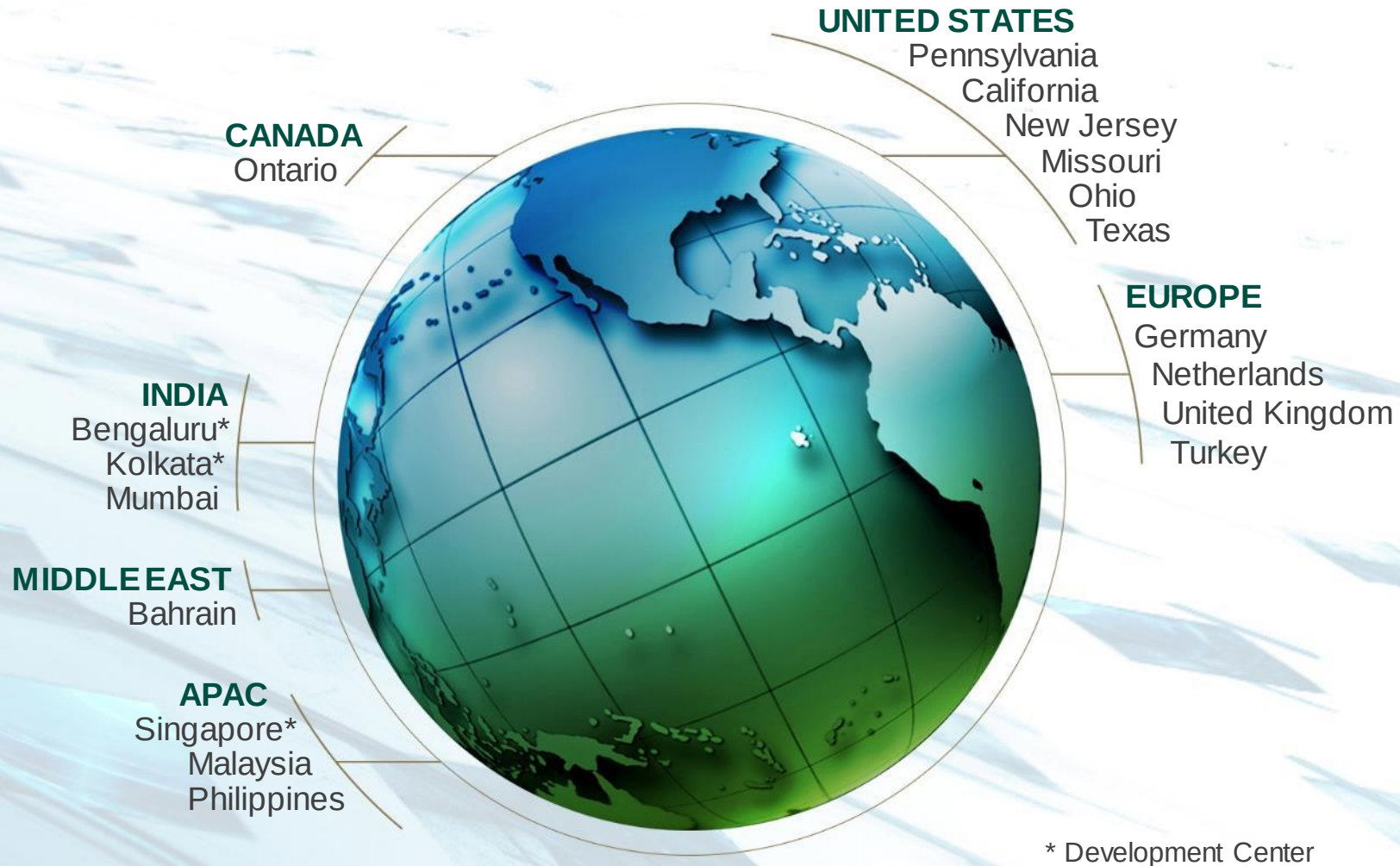
FOSTERING TECHNOLOGY CAREERS

Flexibility and Oversight

Training can be offered onsite, online or in a blended format.

Clients are welcome to assist with curriculum development and pre-screening of candidates to ensure desired quality of instruction.

Local Presence, **Global Reach**



**If you have any questions, or need assistance,
please contact:**

Mr. Prashanth Idgunji

Chief Financial Officer

Telephone: +91 80 4154 8002

Email: Prashanth.Idgunji@mindteck.com

